Answer **all** questions.

Question 1: Japan's persistent economic difficulties

Extract 1: Japan's economic prospects following the pandemic

Following the COVID-19 pandemic of 2020–2022, the Japanese economy has been suffering from weak domestic demand and external economic pressures. Japan's real GDP growth is forecast to increase by 1.9% in 2023 and 0.9% in 2024. Domestic demand from consumers and firms is recovering slowly although demand for Japan's exports is weak partly due to disruptions to the normal workings of the global economy.

Table 1 shows the actual percentage changes in the components of Japan's aggregate demand in 2019 to 2022 and forecasts of percentage changes made by the Organisation for Economic Co-operation and Development (OECD) for the period 2023 to 2024. Table 2 provides actual and forecast data on selected macroeconomic key performance indicators (KPI) over the same periods.

Table 1: Components of Aggregate Demand, Japan, 2019 to 2024

	Yen (trillion) in current prices	% changes				
	2019	2020	2021	2022	2023*	2024*
Private consumption	304.6	–5.2	1.3	2.9	1.4	1.1
Private and government investment	142.5	–4.9	–1.5	–1.0	3.7	1.6
Government consumption	111.3	2.3	2.1	1.5	0.1	–0.9
Exports of goods and services	97.4	–11.6	11.8	4.6	2.9	2.2
Imports of goods and services		–6.7	5.1	7.4	2.4	1.8
Net exports	–1.6	–0.8	1.0	–0.6	0.0	0.0

Table 2: Selected macroeconomic KPI for Japan, 2019 to 2024

	2019	2020	2021	2022	2023*	2024*
Real GDP growth (% change)	–0.4	–4.1	2.6	1.0	1.9	0.9
Consumer price index (% change)	0.0	0.0	–0.2	2.3	2.0	1.7
Unemployment rate (%)	2.4	2.8	2.8	2.6	2.5	2.4
Household savings (% income)	2.9	12.1	8.7	6.1	3.8	2.3
Budget balance (% GDP)	–3.0	–9.0	–5.5	–6.7	–5.9	–4.3
Government debt (% GDP)	236.4	241.3	241.6	248.0	250.6	251.8
Current account balance (% GDP)	3.5	2.9	4.0	1.8	1.1	0.9

*forecast

Sources: OECD Economic Outlook, Issue 2 and IMF datamapper and statista.com, all November 2022

Successive Japanese governments and the Bank of Japan (BoJ) have opposed too much government intervention both in the domestic economy and in the external economy. The government has sought to promote economic recovery through new policy packages. These measures have included subsidies for private sector investment, particularly where there are environmental benefits. Other subsidies have been in the form of reduced energy and food costs, targeted at the most vulnerable households. The BoJ has also been actively adopting expansionary monetary policy.

Source: Adapted from: OECD Economic Outlook, Volume 2022 Issue 2, 1 March 2023

Extract 2: The basic principles of 'Abenomics'

Abenomics is a commonly used term for the economic policies attributed to Japan's former prime minister, Shinzo Abe. These policies have been applied by the Japanese government since 2012 as a way of transforming the economy after two decades of minimal economic growth and deflation. These policies defy many macroeconomic conventions.

Abenomics has three so-called 'arrows':

Monetary policy
The BoJ engages in massive quantitative easing and sets negative interest rates. In contrast, the United States (US) Federal Reserve has tightened its monetary policy by pushing up interest rates. Many economists believe that this difference is a key reason for the depreciation of the yen against the US dollar. They also claim that Abenomics principles have had some success in raising Japan's inflation rate above its 2% target.

Fiscal policy
There have been moderate increases in Japan's consumption (sales) taxes. For example, the general rate changed from 5% to 8% in 2014 and from 8% to 10% in 2019. These increases were unpopular with consumers. Government debt has continued to increase; Japan now has one of the largest debt to GDP ratios in the world. Budget deficits have been the norm, with the need to increase government spending to combat the effects of the pandemic.

Structural reform
Structural reforms have been limited, especially in relation to the labour market. The economy has experienced a considerable loss of industrial capacity as many leading Japanese companies have preferred to invest abroad, particularly in neighbouring countries, but also elsewhere where labour costs are much lower. Japan's rigid labour market regulations, such as providing lifetime employment for full-time workers, restricts job opportunities for young people and women in the service sector. The result is that well-qualified young people often have little alternative but to take low-paid jobs in shops, hotels, restaurants and bars. Further structural problems include coping with a declining yet ageing population that requires additional government spending on health, social care and pensions.

At best, Abe's economic legacy can therefore be considered a glass half full.

Source: Adapted from García Herrero A. Shinzo Abe's economic legacy: a glass half full, Brusgal, 15 September 2022

Extract 3: Japan's inflation rate hits 8-year high

Japan's annual inflation rate increased to an 8-year high of 3% in September 2022. This challenged the BoJ's commitment to an expansionary monetary policy as the yen's slump to a 32-year low continued to push up import costs. The increasing inflation rate provides evidence of the dilemma that faces the BoJ as it tries to combat a weak economy by maintaining ultra-low interest rates. In turn, this policy stance is contributing to an unwelcome fall of the yen on foreign exchange markets.

Current price rises are driven mainly by rising import costs rather than by strong domestic demand. This has been particularly painful for consumers and firms due to Japan's heavy reliance on imports of energy and food. The annual increase in the prices of services was just 0.2% in September; in contrast, prices of manufactured goods rose by an annual figure of 5.6%. There is clear evidence that Japan's inflation is still driven by cost-push factors.

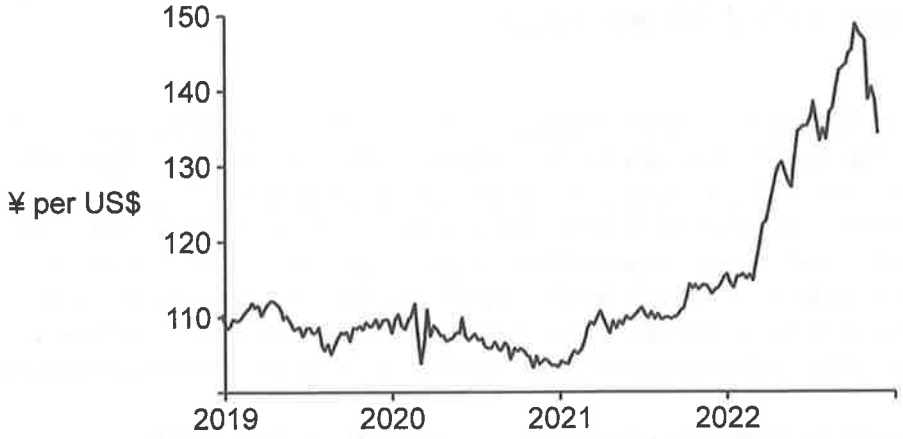
Japan's inflation is still modest compared to price rises in other major economies, including its trading rivals. This has prompted the BoJ to pledge to keep interest rates at very low levels. This determination to follow the principles of Abenomics leaves Japan as an outlier in a global economy at a time when most other countries are tightening their monetary policies.

Source: Adapted from Kihara L. and Wada T. Japan's inflation hits 8-year high in test of BOJ's dovish policy, Reuters, 21 October 2022

Extract 4: Historic depreciation of the Japanese yen (¥)

Figure 1 shows how the yen weakened against the US dollar (US$) throughout 2022. In March, the exchange rate was ¥115 to US$1. In May, it had fallen to ¥135 to US$1. It continued to depreciate until October, when it reached just below ¥150 to US$1, a critical point in the eyes of many economists. Politically, it was a key concern. At the time, the Minister of Finance described the currency as a 'bad, weak yen', fearing a negative impact on Japan's already fragile economy. The government's concern was that the substantial depreciation would force up energy and food prices too far. This would be particularly serious due to Japan's heavy reliance on imports of both.

Figure 1: Japanese yen to US dollar exchange rate, 2019 to 2022



Source: tradingeconomics.com

Superficially, it might be expected that the export sector would benefit from the depreciation. Not so! Ongoing supply chain blockages, as a consequence of the COVID-19 pandemic, restricted the output of electronics and vehicle manufacturing companies worldwide. There was a particular global shortage of semiconductors and other essential components. Japanese companies were therefore restricted in the post-pandemic output they could export.

Source: Adapted from Akimoto D. The Diplomat, *22 November 2022*

1 **(a)** Using the data in Table 1

(i) calculate Japan's aggregate demand in 2019 [1]

(ii) calculate Japan's spending on imports of goods and services in 2019. [1]

(b) Using Table 1, explain how changes in exports of goods and services from 2021 to 2024 might affect **one** other component of aggregate demand in Japan. [3]

(c) Using a diagram, explain how monetary policy under 'Abenomics' would affect Japan's aggregate demand, aggregate supply and hence its real output. [4]

(d) Explain **two** possible ways in which fiscal policy under 'Abenomics' might affect Singapore's competitiveness. [3]

(e) With reference to Extract 3, discuss whether supply-side policies would have been likely to reduce Japan's inflation rate. [8]

(f) Discuss the extent to which Japan continues to experience economic difficulties following the COVID-19 pandemic of 2020 to 2022. [10]

[Total: 30]